

Opinion of the Court

of the Bankruptcy Code. By operation of the Bankruptcy Code's automatic stay provision, 11 U.S.C. § 362(a), the state-court litigation was put on hold.

Ritzen filed a motion in the Federal Bankruptcy Court for relief from the automatic stay, seeking an order allowing the trial to proceed in state court. Ritzen argued that relief would promote judicial economy and that Jackson had filed for bankruptcy in bad faith. After a hearing, the Bankruptcy Court denied the motion. The Bankruptcy Code and Federal Rules of Bankruptcy Procedure require parties to appeal from a final order "within 14 days after entry of the . . . order . . . being appealed." 28 U.S.C. § 158(c)(2); Fed. Rule Bkrcty. Proc. 8002(a). Ritzen did not appeal from the order refusing to lift the stay within the prescribed period.

In pursuit of the breach-of-contract claim initially commenced in state court, Ritzen filed a proof of claim against the bankruptcy estate. Following an adversary proceeding, the Bankruptcy Court found that Ritzen, not Jackson, was the party in breach of the land-sale contract because Ritzen failed to secure financing by the closing date. The court therefore disallowed Ritzen's claim against the bankruptcy estate. Without objection from Ritzen, the court confirmed Jackson's plan of reorganization. The plan permanently enjoined all creditors from the "commencement or continuation of any . . . proceeding against [d]ebtor . . . on account of [c]laims against [d]ebtor." Debtor's Plan of Reorganization in No. 3:16-bk-02065 (MD Tenn.), p. 15.

Thereafter, Ritzen filed two separate notices of appeal in the District Court for the Middle District of Tennessee. First, Ritzen challenged the Bankruptcy Court's order denying relief from the automatic stay. Second, Ritzen challenged the court's resolution of its breach-of-contract claim.

The District Court rejected the first of Ritzen's appeals as untimely, holding that under § 158(c)(2) and Federal Rule of Bankruptcy Procedure 8002(a), time to appeal expired 14 days after the Bankruptcy Court's entry of the order deny-

Opinion of the Court

ing relief from the automatic stay. Turning to the appeal from the Bankruptcy Court’s rejection of Ritzen’s breach-of-contract claim, the District Court ruled against Ritzen on the merits.

On further appeal, the Court of Appeals for the Sixth Circuit affirmed the District Court’s dispositions. As to the timeliness of the first notice of appeal, the Court of Appeals rendered this determination: Adjudication of Ritzen’s motion for relief from the automatic stay qualified as a discrete “proceeding,” commencing with the filing of the motion, followed by procedural steps, and culminating in a “[dispositive] decision based on the application of a legal standard.” *In re Jackson Masonry, LLC*, 906 F. 3d 494, 499–500 (2018).¹ The 14-day appeal clock, the Court of Appeals therefore concluded, ran from the order denying the motion to lift the stay, a disposition “(1) entered in a proceeding and (2) final[ly] terminating that proceeding.” *Id.*, at 499 (alterations omitted).

We granted certiorari to resolve whether orders denying relief from bankruptcy’s automatic stay are final, therefore immediately appealable under § 158(a)(1). 587 U. S. 1014 (2019).

III

A

This Court’s opinion in *Bullard v. Blue Hills Bank*, 575 U. S. 496, guides our application of § 158(a)’s finality requirement. Addressing repayment plan confirmations under Chapter 13, we held in *Bullard* that a bankruptcy court’s order rejecting a proposed plan was not “final” under § 158(a) because it did not conclusively resolve the relevant “proceed-

¹The “procedural steps” included Ritzen’s provision of notice to Jackson and the Bankruptcy Court’s conduct of a hearing at which the parties presented witness testimony and other evidence. App. to Pet. for Cert. 48a. The question under the “applicable legal standard”: Did Ritzen establish “cause” to permit the state-court litigation to proceed. See *id.*, at 52a–67a; 11 U. S. C. § 362(d)(1).

Opinion of the Court

ing.” *Id.*, at 499, 502–503. The plan-confirmation process, the *Bullard* opinion explains, involves back and forth negotiations. See *id.*, at 502. Plan proposal rejections may be followed by amended or new proposals. Only plan approval, we observed, “alters the status quo and fixes the rights and obligations of the parties.” *Ibid.* “Denial of confirmation with leave to amend,” by contrast, leaves the “parties’ rights and obligations . . . unsettled,” and therefore cannot be typed “final.” *Id.*, at 503. The appropriate procedural unit for determining finality, we concluded, is not a plan proposal, it is “the process of attempting to arrive at an approved plan.” *Id.*, at 502.

B

We take up next the application of *Bullard*’s analysis to a bankruptcy court’s order denying relief from the automatic stay. As earlier stated, see *supra*, at 37, under the Bankruptcy Code, the filing of a bankruptcy petition automatically halts efforts to collect prepetition debts from the bankrupt debtor outside the bankruptcy forum. 11 U.S.C. § 362(a). The stay serves to “maintai[n] the status quo and preven[t] dismemberment of the estate” during the pendency of the bankruptcy case. 1 Collier ¶1.05[1], p. 1–19; 3 *id.*, ¶362.03, p. 362–23. Among other things, the stay bars commencement or continuation of lawsuits to recover from the debtor, enforcement of liens or judgments against the debtor, and exercise of control over the debtor’s property. § 362(a).

A creditor may seek relief from the stay by filing in the bankruptcy court a motion for an order “terminating, annulling, modifying, or conditioning” the stay, asserting in support of the motion either “cause” or the presence of specified conditions. § 362(d). A majority of circuits and the leading treatises regard orders denying such motions as final, immediately appealable decisions.² We reach the same conclusion.

²See, e.g., *Rajala v. Gardner*, 709 F. 3d 1031, 1034 (CA10 2013); *In re Excel Innovations, Inc.*, 502 F. 3d 1086, 1092 (CA9 2007); *In re James Wilson Assocs.*, 965 F. 2d 160, 166 (CA7 1992); *In re Sonnar Industries*,

Opinion of the Court

Bullard instructs that we inquire “how to define the immediately appealable ‘proceeding’ in the context of [stay-relief motions].” 575 U.S., at 502. Jackson urges that, as the Court of Appeals held, adjudication of a stay-relief motion is a discrete “proceeding.” Ritzen urges that stay-relief adjudication is properly considered a first step in the process of adjudicating a creditor’s claim against the estate.

We agree with the Court of Appeals and Jackson that the appropriate “proceeding” is the stay-relief adjudication. A bankruptcy court’s order ruling on a stay-relief motion disposes of a procedural unit anterior to, and separate from, claim-resolution proceedings. Adjudication of a stay-relief motion, as just observed, occurs before and apart from proceedings on the merits of creditors’ claims: The motion initiates a discrete procedural sequence, including notice and a hearing, and the creditor’s qualification for relief turns on the statutory standard, *i. e.*, “cause” or the presence of specified conditions. § 362(d), (e); Fed. Rules Bkrtcy. Proc. 4001(a)(1) and (2), 9014 (describing procedure for adjudicating motions for relief from automatic stay). Resolution of stay-relief motions does not occur as part of the adversary claims-adjudication process, proceedings typically governed by state substantive law. See *Butner v. United States*, 440 U.S. 48, 54–55 (1979). Under *Bullard*, a discrete dispute of

Inc., 907 F. 2d 1280, 1284–1285 (CA2 1990); *In re Lieb*, 915 F. 2d 180, 185, n. 3 (CA5 1990); *Grundy Nat. Bank v. Tandem Mining Corp.*, 754 F. 2d 1436, 1439 (CA4 1985), overruled in part on other grounds by *United Sav. Assn. of Tex. v. Timbers of Inwood Forest Associates, Ltd.*, 484 U.S. 365 (1988); *In re American Mariner Industries, Inc.*, 734 F. 2d 426, 429 (CA9 1984), overruled in part on other grounds by *Timbers of Inwood Forest Associates, Ltd.*, 484 U.S. 365; *In re Leimer*, 724 F. 2d 744, 745 (CA8 1984); 16 C. Wright, A. Miller, & E. Cooper, *Federal Practice and Procedure* § 3926.2, p. 352, and nn. 39–40 (3d ed. 2012 and Supp. 2019) (“Automatic-stay rulings by a bankruptcy judge or appellate panel should be appealable as final decisions.”). See also 1 *Collier on Bankruptcy* ¶5.09, pp. 5–55 to 5–57 (16th ed. 2019).

Opinion of the Court

this kind constitutes an independent “proceeding” within the meaning of 28 U. S. C. § 158(a). 575 U. S., at 502–505.

Our conclusion that the relevant “proceeding” is the stay-relief adjudication is consistent with statutory text. See *id.*, at 503. A provision neighboring § 158(a), § 157(b)(2)(G), types motions to terminate, annul, or modify the automatic stay as “core proceedings” arising in a bankruptcy case. Section 157(b)(2) lists those motions separately from the “allowance or disallowance of claims against the estate.” § 157(b)(2)(B), (G). Although the discrete “core proceedings” listings “hardly clinc[h] the matter,” as the “provision’s purpose is not to explain appealability,” they are a “textual clue” that Congress viewed adjudication of stay-relief motions as “proceedings” distinct from claim adjudication. *Bullard*, 575 U. S., at 503.

C

In Ritzen’s view, the position Jackson advances and we adopt “slic[es] the case too thin.” *Id.*, at 502. Ritzen asserts that an order denying stay relief simply decides the forum for adjudication of adversary claims—bankruptcy court or state court—and therefore should be treated as merely a preliminary step in the claims-adjudication process. Brief for Petitioner 19–21, 26–28.

Courts, we agree, should not define “proceeding” to include disputes over minor details about how a bankruptcy case will unfold. As we put it in *Bullard*, “[t]he concept of finality cannot stretch to cover, for example, an order resolving a disputed request for an extension of time.” 575 U. S., at 505.

But Ritzen incorrectly characterizes denial of stay relief as determining nothing more than the forum for claim adjudication. Resolution of a motion for stay relief can have large practical consequences. See 3 Collier ¶362.03, pp. 362–23 to 362–24. Disposition of the motion determines whether a creditor can isolate its claim from those of other

Opinion of the Court

creditors and go it alone outside bankruptcy. It can also affect the manner in which adversary claims will be adjudicated. See 11 U.S.C. § 502 (permitting summary adjudication or estimation of amounts due in bankruptcy claims adjudication). These are not matters of minor detail; they can significantly increase creditors' costs. Leaving the stay in place may, *inter alia*, delay collection of a debt or cause collateral to decline in value. See Brief for United States as *Amicus Curiae* 14.

Ruling on a motion for stay relief, it is true, will determine where the adjudication of an adversary claim will take place—in the bankruptcy forum or state court. But that effect does not render a ruling nonfinal. Orders denying a plaintiff the opportunity to seek relief in its preferred forum often qualify as final and immediately appealable, though they leave the plaintiff free to sue elsewhere. Notably, dismissal for want of personal jurisdiction ranks as a final decision. See *Daimler AG v. Bauman*, 571 U.S. 117, 124–125 (2014). So too, dismissal for improper venue, or under the doctrine of *forum non conveniens*. See *United States v. Wallace & Tiernan Co.*, 336 U.S. 793, 794–795, n. 1 (1949); 15A C. Wright, A. Miller, & E. Cooper, *Federal Practice and Procedure* §§ 3914.6, 3914.12 (2d ed. 1992 and Supp. 2019) (collecting cases on appealability of dismissal without prejudice to filing in another forum).³

Ritzen's position encounters a further shoal: Many motions to lift the automatic stay do not involve adversary claims against the debtor that would be pursued in another forum but for bankruptcy. Bankruptcy's embrace of automatic stay stops even nonjudicial efforts to obtain or control the debtor's assets. See § 362(a). Motions for stay relief may, for

³We note, however, that within the federal court system, when venue is laid in the wrong district, or when the plaintiff chooses an inconvenient forum, transfer rather than dismissal is ordinarily ordered if “in the interest of justice.” 28 U.S.C. §§ 1404(a), 1406(a).

Opinion of the Court

example, seek permission to repossess or liquidate collateral, to terminate a lease, or to set off debts. *Ibid.* These matters do not concern the forum for, and cannot be considered part of, any subsequent claim adjudication. See Brief for National Association of Consumer Bankruptcy Attorneys as *Amicus Curiae* 23–24. We see no good reason to treat stay adjudication as the relevant “proceeding” in only a subset of cases. As we have held in another context, “the issue of appealability” should “be determined for the entire category to which a claim belongs.” *Digital Equipment Corp. v. Desktop Direct, Inc.*, 511 U.S. 863, 868 (1994) (addressing collateral order doctrine).

Ritzen alternatively argues that, even if an order denying stay relief is not part of the claims-adjudication process, the order should nonetheless rank as nonfinal where, as here, the bankruptcy court’s decision turns on a substantive issue that may be raised later in the litigation. Brief for Petitioner 45. Specifically, Ritzen stresses that it based its stay-relief motion largely on an argument that Jackson filed for bankruptcy in bad faith, an issue that could have been urged again later in the bankruptcy case. *Ibid.*

That argument is misaddressed. Section 158(a) asks whether the order in question terminates a procedural unit separate from the remaining case, not whether the bankruptcy court has preclusively resolved a substantive issue. It does not matter whether the court rested its decision on a determination potentially pertinent to other disputes in the bankruptcy case, so long as the order conclusively resolved the movant’s entitlement to the requested relief.

Finally, Ritzen protests that the rule we adopt will encourage piecemeal appeals and unduly disrupt the efficiency of the bankruptcy process. *Id.*, at 48–52. As we see it, classifying as final all orders conclusively resolving stay-relief motions will avoid, rather than cause, “delays and inefficiencies.” *Bullard*, 575 U.S., at 504. Immediate appeal, if

Opinion of the Court

successful, will permit creditors to establish their rights expeditiously outside the bankruptcy process, affecting the relief sought and awarded later in the bankruptcy case. The rule Ritzen urges “would force creditors who lose stay-relief motions to fully litigate their claims in bankruptcy court and then, after the bankruptcy case is over, appeal and seek to redo the litigation all over again in the original court.” 906 F. 3d, at 503.

This case is illustrative. After the Bankruptcy Court denied Ritzen’s motion for relief from the automatic stay, Ritzen filed a claim against Jackson in the Bankruptcy Court. The parties and court expended substantial resources definitively litigating the dueling breach-of-contract allegations, and Ritzen lost. The Bankruptcy Court thereafter considered and confirmed Jackson’s reorganization plan. By endeavoring now to appeal the stay-relief order, after forgoing an appeal directly after the denial, Ritzen seeks to return to square one. Its aim, to relitigate the opposing contract claims in state court. Nevermind that the Bankruptcy Court has fully adjudicated the contract claims and has, without objection from Ritzen, approved Jackson’s reorganization plan. The second bite Ritzen seeks scarcely advances the finality principle.

IV

Because the appropriate “proceeding” in this case is the adjudication of the motion for relief from the automatic stay, the Bankruptcy Court’s order conclusively denying that motion is “final.” The court’s order ended the stay-relief adjudication and left nothing more for the Bankruptcy Court to do in that proceeding.⁴ The Court of Appeals therefore correctly ranked the order as final and immediately appealable,

⁴ We do not decide whether finality would attach to an order denying stay relief if the bankruptcy court enters it “without prejudice” because further developments might change the stay calculus. Nothing in the record before us suggests that this is such an order.

Opinion of the Court

and correctly affirmed the District Court's dismissal of Ritzen's appeal as untimely.

* * *

For the reasons stated, the judgment of the Court of Appeals is

Affirmed.

Syllabus

RETIREMENT PLANS COMMITTEE OF IBM ET AL. v.
JANDER ET AL.CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR
THE SECOND CIRCUIT

No. 18–1165. Argued November 6, 2019—Decided January 14, 2020

This Court held in *Fifth Third Bancorp v. Dudenhoeffer*, 573 U. S. 409, 428, that “[t]o state a claim for breach of the duty of prudence” imposed by the Employee Retirement Income Security Act of 1974 “on the basis of inside information, a plaintiff must plausibly allege an alternative action that the defendant could have taken that would have been consistent with the securities laws and that a prudent fiduciary in the same circumstances would not have viewed as more likely to harm the fund than to help it.” The petition for certiorari in this case presents the question whether *Dudenhoeffer*’s “more harm than good” pleading standard can be satisfied by generalized allegations that the harm of an inevitable disclosure of an alleged fraud generally increases over time. In their briefing on the merits, however, the petitioners (plan fiduciaries) and the Government (presenting the views of the Securities and Exchange Commission as well as the Department of Labor) focus their arguments primarily upon other matters not addressed by the Second Circuit.

Held: The judgment is vacated, and the case is remanded. The Court declines to consider arguments not addressed by the Court of Appeals. *F. Hoffmann-La Roche Ltd. v. Empagran S. A.*, 542 U. S. 155, 175. Nevertheless, in light of the Court’s statement in *Dudenhoeffer* that the views of the SEC might “well be relevant” to discerning the content of ERISA’s duty of prudence in the context here, 573 U. S., at 429, the Court of Appeals should have an opportunity to decide in the first instance whether to entertain the parties’ arguments.

910 F. 3d 620, vacated and remanded.

Paul D. Clement argued the cause for petitioners. With him on the briefs were *George W. Hicks, Jr.*, *C. Harker Rhodes IV*, *Andrew C. Lawrence*, *Lawrence Portnoy*, *Michael S. Flynn*, and *David Toscano*.

Jonathan Y. Ellis argued the cause for the United States as *amicus curiae* urging vacatur. With him on the brief were *Solicitor General Francisco*, *Deputy Solicitor General*

Per Curiam

Kneedler, G. William Scott, Robert B. Stebbins, Michael A. Conley, and David D. Lisitza.

Samuel E. Bonderoff argued the cause for respondents. With him on the brief were *Jacob H. Zamansky* and *James Ostaszewski*.*

PER CURIAM.

In *Fifth Third Bancorp v. Dudenhoeffer*, 573 U.S. 409 (2014), we held that “[t]o state a claim for breach of the duty of prudence” imposed on plan fiduciaries by the Employee Retirement Income Security Act of 1974 (ERISA) “on the basis of inside information, a plaintiff must plausibly allege an alternative action that the defendant could have taken that would have been consistent with the securities laws and that a prudent fiduciary in the same circumstances would not have viewed as more likely to harm the fund than to help it.” *Id.*, at 428. We then set out three considerations that “inform the requisite analysis.” *Ibid.*

First, we pointed out that the “duty of prudence, under ERISA as under the common law of trusts, does not require a fiduciary to break the law.” *Ibid.* Accordingly, “ERISA’s duty of prudence cannot require” the fiduciary of an Employee Stock Ownership Plan (ESOP) “to perform an action—such as divesting the fund’s holdings of the employer’s stock on the basis of inside information—that would violate the securities laws.” *Ibid.*

*Briefs of *amici curiae* urging reversal were filed for the American Benefits Council et al. by *Russell L. Hirschhorn, John E. Roberts, and Lindsey H. Chopin*; for DRI—The Voice of the Defense Bar by *Michael R. Pennington* and *Scott Burnett Smith*; and for the Securities Industry and Financial Markets Association et al. by *Nicole A. Saharsky, Brian D. Netter, Matthew A. Waring, Nancy G. Ross, Kevin M. Carroll, and Daryl Joseffer*.

Briefs of *amici curiae* urging affirmance were filed for the American Association for Justice et al. by *Matthew W. H. Wessler, Gregory A. Beck, and Leah M. Nicholls*; for Law Professors by *Todd M. Schneider*; and for Occupy the SEC by *Akshat Tewary*.

Per Curiam

We then added that, where a complaint “faults fiduciaries for failing to decide, on the basis of the inside information, to refrain from making additional stock purchases or for failing to disclose that information to the public so that the stock would no longer be overvalued, additional considerations arise.” *Id.*, at 429. In such cases, “[t]he courts should consider the extent to which an ERISA-based obligation either to refrain on the basis of inside information from making a planned trade or to disclose inside information to the public could conflict with the complex insider trading and corporate disclosure requirements imposed by the federal securities laws or with the objectives of those laws.” *Ibid.* We noted that the “U.S. Securities and Exchange Commission ha[d] not advised us of its views on these matters, and we believe[d] those views may well be relevant.” *Ibid.*

Third, and finally, we said that “lower courts faced with such claims should also consider whether the complaint has plausibly alleged that a prudent fiduciary in the defendant’s position could not have concluded that stopping purchases—which the market might take as a sign that insider fiduciaries viewed the employer’s stock as a bad investment—or publicly disclosing negative information would do more harm than good to the fund by causing a drop in the stock price and a concomitant drop in the value of the stock already held by the fund.” *Id.*, at 429–430.

The question presented in this case concerned what it takes to plausibly allege an alternative action “that a prudent fiduciary in the same circumstances would not have viewed as more likely to harm the fund than to help it.” *Id.*, at 428. It asked whether *Dudenhoeffer*’s “‘more harm than good’ pleading standard can be satisfied by generalized allegations that the harm of an inevitable disclosure of an alleged fraud generally increases over time.” Pet. for Cert. i.

In their briefing on the merits, however, the petitioners (fiduciaries of the ESOP at issue here) and the Government (presenting the views of the Securities and Exchange Com-

KAGAN, J., concurring

mission as well as the Department of Labor), focused their arguments primarily upon other matters. The petitioners argued that ERISA imposes no duty on an ESOP fiduciary to act on inside information. And the Government argued that an ERISA-based duty to disclose inside information that is not otherwise required to be disclosed by the securities laws would “conflict” at least with “objectives of” the “complex insider trading and corporate disclosure requirements imposed by the federal securities laws” *Dudenhoeffer*, 573 U. S., at 429.

The Second Circuit “did not address the[se] argument[s], and, for that reason, neither shall we.” *F. Hoffmann-La Roche Ltd. v. Empagran S. A.*, 542 U. S. 155, 175 (2004) (citation omitted); see *Cutter v. Wilkinson*, 544 U. S. 709, 718, n. 7 (2005) (“[W]e are a court of review, not of first view”). See also 910 F. 3d 620 (CA2 2018). Nevertheless, in light of our statement in *Dudenhoeffer* that the views of the “U. S. Securities and Exchange Commission” might “well be relevant” to discerning the content of ERISA’s duty of prudence in this context, 573 U. S., at 429, we believe that the Court of Appeals should have an opportunity to decide whether to entertain these arguments in the first instance. For this reason we vacate the judgment below and remand the case, leaving it to the Second Circuit whether to determine their merits, taking such action as it deems appropriate.

It is so ordered.

JUSTICE KAGAN, with whom JUSTICE GINSBURG joins, concurring.

Today’s *per curiam* vacates and remands so that the Court of Appeals for the Second Circuit can decide whether to consider two arguments that occupied most of the briefing in this Court even though the lower courts had not addressed them. I join the Court’s opinion with two further notes.

First, the Court of Appeals may of course determine that under its usual rules of waiver or forfeiture, it will not con-

KAGAN, J., concurring

sider those arguments. The *per curiam* is clear that the Second Circuit is to “decide whether to entertain” the arguments in the first instance. *Ante*, at 52. If the arguments were not properly preserved, sound judicial practice points toward declining to address them. See, e.g., *Wood v. Milyard*, 566 U. S. 463, 473 (2012) (“For good reason, appellate courts ordinarily abstain from entertaining issues that have not been raised and preserved”). That is so, contrary to JUSTICE GORSUCH’s suggestion, whether or not the issue will come back in the future. See *post*, at 55 (concurring opinion).

Second, if the Court of Appeals chooses to address the merits of either argument, the opening question must be whether it is consistent with this Court’s decision in *Fifth Third Bancorp v. Dudenhoeffer*, 573 U. S. 409 (2014). I cannot see how. The petitioners argue that ERISA “imposes no duty on an ESOP fiduciary to act on insider information.” *Ante*, at 52. But *Dudenhoeffer* makes clear that an ESOP fiduciary at times has such a duty; the decision sets out exactly what a plaintiff must allege to state a claim that the fiduciary breached his duty of prudence by “failing to act on inside information.” 573 U. S., at 423; see *id.*, at 428; *ante*, at 50. For its part, the Government argues that (absent extraordinary circumstances) an ESOP fiduciary has only the duty to disclose inside information that the federal securities laws already impose. See *ante*, at 52. But *Dudenhoeffer* characterizes the relationship between ERISA’s duty of prudence and the securities laws differently. It recognizes that a fiduciary can have no obligation to take actions “violat[ing] the securities laws” or “conflict[ing]” with their “requirements” or “objectives.” 573 U. S., at 428–429; see *ante*, at 50–51. At the same time, the decision explains that when an action does not so conflict, it might fall within an ESOP fiduciary’s duty—even if the securities laws do not require it. See 573 U. S., at 428. The question in that conflict-free zone is whether a prudent fiduciary would think the action more

GORSUCH, J., concurring

likely to help than to harm the fund. See *id.*, at 428, 430; see *ante*, at 50–51. The Government candidly acknowledges that its approach would mostly wipe out that central aspect of the *Dudenhoeffer* standard. See Brief for United States as *Amicus Curiae* 22. That too does not accord with the decision.*

JUSTICE GORSUCH, concurring.

The gist of respondents’ sole surviving claim is that certain ERISA fiduciaries should have used their positions as corporate insiders to cause the company to make an SEC-regulated disclosure. But merely stating the theory suggests a likely flaw: In ordering up a special disclosure, the defendants necessarily would be acting in their capacities as corporate officers, not ERISA fiduciaries. Run-of-the-mill ERISA fiduciaries cannot, after all, order corporate disclosures on behalf of their portfolio companies. Nor do even all corporate insiders have that authority. These defendants (allegedly) had the opportunity to make a corrective disclosure only because of the positions they happened to hold within the organization. So while respondents are correct to note that insider fiduciaries are subject to the “same duty of prudence that applies to ERISA fiduciaries in general,” *Fifth Third Bancorp v. Dudenhoeffer*, 573 U.S. 409, 412 (2014), at bottom they seek to impose an even *higher* duty on fiduciaries who have the authority to make or order SEC-regulated disclosures on behalf of the corporation. Because

*JUSTICE GORSUCH essays still another argument, but it also conflicts with *Dudenhoeffer*. He claims that an ESOP fiduciary can never have a duty under ERISA to make disclosures “in their capacities as corporate officers.” *Post* this page. But *Dudenhoeffer* spells out when ERISA forecloses such a duty—when making the disclosure would conflict with the requirements and objectives of the securities laws. See 573 U.S., at 429. Absent a conflict of that kind, there is no categorical exclusion: The question, stated once again, is whether a prudent fiduciary would think the disclosure more likely to benefit than to harm the fund. See *id.*, at 429–430.

GORSUCH, J., concurring

ERISA fiduciaries are liable only for actions taken while “acting as a fiduciary,” it would be odd to hold the same fiduciaries liable for “alternative action[s they] could have taken” *only* in some other capacity. Compare *Pegram v. Herdrich*, 530 U. S. 211, 225–226 (2000), with *Dudenhoeffer*, 573 U. S., at 428.

Despite its promise, this argument seemingly wasn’t considered by lower courts before the case arrived in our Court. In these circumstances, I agree with the Court’s *per curiam* that the better course is to remand the case to allow the lower courts to address these matters in the first instance. But the payout of today’s remand is really about timing: By remanding rather than dismissing, we give the lower courts the chance to answer this important question sooner rather than later. To be sure, on remand respondents might try to say this argument was waived or forfeited in earlier motions practice. See *ante*, at 52–53 (KAGAN, J., concurring). But following respondents down that path would do no more than briefly delay the task at hand. The argument before us involves a pure question of law, raised in the context of a motion to dismiss. If it isn’t addressed immediately on remand, it will only prove unavoidable later, not just in other suits but at later stages in this very litigation.

Of course, today’s remand would be pointless if the argument before us were already foreclosed by *Dudenhoeffer*, as JUSTICE KAGAN suggests. *Ante*, at 54, n. But I do not believe our remand is a wasted gesture, because I do not read *Dudenhoeffer* so broadly. *Dudenhoeffer* held that an ERISA plaintiff must plausibly allege “an alternative action that the defendant could have taken that would have been consistent with the securities laws and that a prudent fiduciary . . . would not have viewed as more likely to harm the fund than to help it.” 573 U. S., at 428. Put differently, the Court held the plaintiff’s ability to identify a helpful action that the defendant could have taken consistent with the securities laws is a *necessary* condition to an ERISA suit. But

GORSUCH, J., concurring

nowhere did *Dudenhoeffer* hold this is also a *sufficient* condition to suit, promising that a case may proceed anytime a plaintiff is able to conjure a hypothetical helpful action that would've been consistent with the securities laws.

The Court didn't consider whether *other* necessary conditions to suit might exist because the question wasn't before it. *Dudenhoeffer* did discuss some "additional considerations" that might arise when a plaintiff tries to plead as "alternative action[s]" either "refrain[ing] from making additional stock purchases" or "disclos[ing] inside information to the public." *Id.*, at 428–429. But the Court singled out these circumstances only because of their obvious potential to "conflict with the complex insider trading and corporate disclosure requirements imposed by the federal securities laws." *Id.*, at 429. So *Dudenhoeffer* made plain that suits requiring fiduciaries to violate the securities laws cannot proceed. But only the most unabashed optimist could read *that* as guaranteeing all other suits may.

The truth is, *Dudenhoeffer* was silent on the argument now before us for the simple reason that the parties in *Dudenhoeffer* were silent on it too. No one in that case asked the Court to decide whether ERISA plaintiffs may hold fiduciaries liable for alternative actions they could have taken only in a nonfiduciary capacity. And it is beyond debate that "[q]uestions which merely lurk in the record, neither brought to the attention of the court nor ruled upon, are not to be considered as having been so decided as to constitute precedents." *Webster v. Fall*, 266 U.S. 507, 511 (1925).

Syllabus

ROMAN CATHOLIC ARCHDIOCESE OF SAN JUAN,
PUERTO RICO *v.* ACEVEDO FELICIANO ET AL.ON PETITION FOR WRIT OF CERTIORARI TO THE SUPREME
COURT OF PUERTO RICO

No. 18–921. Decided February 24, 2020

Active and retired school employees filed complaints seeking injunctive relief in the Puerto Rico Court of First Instance based on their allegation that the Pension Plan for Employees of Catholic Schools Trust (Trust) had terminated their pension plan and eliminated their pension benefits. Named defendants in the suit included the Roman Catholic and Apostolic Church of Puerto Rico (alleged to be a legal entity with supervisory authority over all Catholic institutions in Puerto Rico), the Archdiocese of San Juan, the Superintendent of Catholic Schools, three Catholic academies, and the Trust. Litigation proceeded in the Puerto Rico courts regarding, among other issues, which defendants in the case had legal personalities sufficient to subject them to suit. The Puerto Rico Supreme Court ultimately upheld the award of preliminary injunctive relief in favor of plaintiffs, and remanded the case to the Court of First Instance to determine which entities would be responsible for continuing to pay the pensions. After that, the Archdiocese removed the case to the United States District Court for the District of Puerto Rico, arguing that the litigation was sufficiently related to the Trust's pending Chapter 11 bankruptcy proceedings to give rise to federal jurisdiction. The Trust's bankruptcy proceeding was dismissed on March 13, 2018. On March 16, 2018, and based on its determination that the Roman Catholic and Apostolic Church in Puerto Rico was the only defendant with separate legal personhood, the Court of First Instance ordered the Church to make payments to the employees in accordance with the pension plan. On March 26 and March 27, 2018, the Court of First Instance issued orders requiring the Church to deposit \$4.7 million in a court account within 24 hours and seizing certain Church assets. See App. to Pet. for Cert. 224, 227, 241. Nearly five months later on August 20, 2018, the District Court remanded the case to the Court of First Instance by way of a *nunc pro tunc* judgment stating that the order “shall be effective as of March 13, 2018.” Ultimately, the Puerto Rico Supreme Court upheld the preliminary injunction issued against the Church. The Archdiocese petitioned this Court for a writ of certiorari, arguing that the Free Exercise and Establishment Clauses of the

First Amendment require courts to follow the Church's lead in recognizing the separate legal personalities of each Church entity.

Held: The Court does not reach the merits arguments presented because the Court of First Instance lacked jurisdiction to issue the payment and seizure orders at issue. Once a notice of removal is filed, "the State court shall proceed no further unless and until the case is remanded." 28 U.S.C. § 1446(d). The state court "los[es] all jurisdiction over the case, and, being without jurisdiction, its subsequent proceedings and judgment [are] not . . . simply erroneous, but absolutely void." *Kern v. Huidekoper*, 103 U.S. 485, 493. The Court of First Instance issued its payment and seizure orders after the proceeding was removed to Federal District Court, but before that court remanded the proceeding back to the Puerto Rico court. At the time those orders were entered, the Court of First Instance had no jurisdiction over the proceeding, and those orders are therefore void.

Two possible rejoinders lack merit. First, the Archdiocese did not consent to the Court of First Instance's jurisdiction by filing motions in that court after removal. See *Steamship Co. v. Tugman*, 106 U.S. 118, 122–123. Second, although the District Court remanded the case by way of a *nunc pro tunc* judgment stating that the order "shall be effective as of March 13, 2018," the case remained in federal court until August 20, 2018, when the District Court rendered a decision about the pending motion to remand. Federal courts may issue *nunc pro tunc* orders, or "now for then" orders, Black's Law Dictionary, 1287, to "reflect[] the reality" of what has already occurred, *Missouri v. Jenkins*, 495 U.S. 33, 49. "Such a decree presupposes a decree allowed, or ordered, but not entered, through inadvertence of the court." *Cuebas y Arredondo v. Cuebas y Arredondo*, 223 U.S. 376, 390. But the court "cannot make the record what it is not." *Jenkins*, 495 U.S., at 49. The Court of First Instance's actions before August 20—the date the District Court remanded the case—are void. The Court remands the case to the Puerto Rico courts to consider how to proceed in light of the jurisdictional defect identified.

Certiorari granted; 200 D. P. R. 458, vacated and remanded.

PER CURIAM.

In 1979, the Office of the Superintendent of Catholic Schools of the Archdiocese of San Juan created a trust to administer a pension plan for employees of Catholic schools, aptly named the Pension Plan for Employees of Catholic Schools Trust (Trust). Among the participating schools

Per Curiam

were Perpetuo Socorro Academy, San Ignacio de Loyola Academy, and San Jose Academy.

In 2016, active and retired employees of the academies filed complaints in the Puerto Rico Court of First Instance alleging that the Trust had terminated the plan, eliminating the employees' pension benefits. The employees named as a defendant the "Roman Catholic and Apostolic Church of Puerto Rico," which the employees claimed was a legal entity with supervisory authority over all Catholic institutions in Puerto Rico. App. to Pet. for Cert. 58–59, 152–153 (emphasis deleted).¹ The employees also named as defendants the Archdiocese of San Juan, the Superintendent, the three academies, and the Trust.

The Court of First Instance, in an order affirmed by the Puerto Rico Court of Appeals, denied a preliminary injunction requiring the payment of benefits, but the Puerto Rico Supreme Court reversed. The Supreme Court concluded that "if the Trust did not have the necessary funds to meet its obligations, the participating employers would be obligated to pay." *Id.*, at 3. But, because "there was a dispute as to which defendants in the case had legal personalities," the Supreme Court remanded the case to the Court of First Instance to "determine who would be responsible for continuing paying the pensions, pursuant to the preliminary injunction." *Ibid.*

The Court of First Instance determined that the "Roman Catholic and Apostolic Church in Puerto Rico" was the only defendant with separate legal personhood. *Id.*, at 239–240. The Court held such personhood existed by virtue of the Treaty of Paris of 1898, through which Spain ceded Puerto Rico to the United States. The Court found that the Archdiocese of San Juan, the Superintendent, and the academies

¹The petition for a writ of certiorari includes certified translations of the opinions, originally in Spanish, of the Puerto Rico courts. See also 200 D. P. R. 458 (2018); App. to Pet. for Cert. 1–95, 97–220. We cite the certified translations.